

MODULE 14: LEADERSHIP

Learning Objectives

- Understanding the concept of leadership and its importance in management
- Describe the qualities of a good leader
- Understanding of leadership styles and theories

I. Introduction:

Whenever we hear the success stories of any organization, we are immediately reminded of their leaders. Can you imagine Microsoft without Bill Gates, Reliance Industries without Ambanis, Infosys without Narayana Murthy, Tata without J.R.D. Tata or Wipro without Azim Premji. You would say it is not possible to achieve success without such great leaders. The leaders always play a key role for the success and excellence of any organization.

Leadership:

- The ability to influence people towards the attainment of organizational goals
- Leadership is the process of influencing the behavior of people by making them strive voluntarily towards achievement of organizational goals. Leadership indicates the ability of an individual to maintain good interpersonal relations with followers and motivate them to contribute for achieving organizational objectives.

Definition:

- Leadership is the activity of influencing people to strive willingly for group objectives.

George Terry

- Leadership is the art or process of influencing people so that they will strive willingly and enthusiastically towards the achievement of group goals.

Harold Koontz and Heinz Weihrich

- Leadership is a set of interpersonal behaviors designed to influence employees to cooperate in the achievement of objectives.

Glueck

II. Features of leadership

An examination of the above definition reveals the following important features of leadership:

- Leadership indicates ability of an individual to influence others. Leadership tries to bring change in the behavior of others.
- Leadership indicates interpersonal relations between leaders and followers.
- Leadership is exercised to achieve common goals of the organization.
- Leadership is a continuous process.

The term leader emerges from leadership. An individual possessing attributes of leadership is known as leader. While discussing about leadership, it is important to understand leader-follower relationship. Many times, the success of an organization is attributed to the leader, but due credit is not given to the followers.

Many follower-related factors like – their skills, knowledge, commitment, willingness to cooperate, team spirit etc., make a person an effective leader. It is said that followers make a person, a good leader by acceptance of leadership. Therefore, it is to be recognized that both leader and follower play key role in leadership process.

III. Importance of Leadership:

Leadership is a key factor in making any organization successful. History reveals that, many times, difference between success and failure of an organization is leadership. It is aptly mentioned by Stephen Covey, a famous management consultant that managers are important but leaders are vital for lasting organizational success. A leader not only commits his followers to organizational goals but also pools needed resources, guides and motivates subordinates to reach the goals.

The importance of leadership can be discussed from the following benefits to the organization:

- Leadership influences the behavior of people and makes them to positively contribute their energies for the benefit of the organization. Good leaders always produce good results through their followers.

- A leader maintains personal relations and helps followers in fulfilling their needs. He provides needed confidence, support and encouragement and thereby creates congenial work environment.
- Leader plays a key role in introducing required changes in the organization. He persuades, clarifies and inspires people to accept changes whole-heartedly. Thus, he overcomes the problem of resistance to change and introduces it with minimum discontentment.
- A leader handles conflicts effectively and does not allow adverse effects resulting from the conflicts. A good leader always allows his followers to ventilate their feelings and disagreement but persuades them by giving suitable clarifications.
- Leader provides training to their subordinates. A good leader always builds up his successor and helps in smooth succession process.

IV. Qualities of Good Leader:

What are the qualities possessed by a good leader? Are there any common traits (qualities) applicable to all good leaders? How many such qualities should a leader possess to be successful?

One approach to leadership emphasizes that a person should possess certain qualities or traits to become a successful leader. It assumes that leaders can be distinguished from non leaders by certain unique traits possessed by them. The qualities of In all about 18,000 traits were identified by researchers. Some of these qualities are explained below:

- **Physical features:** Physical features like height, weight, health, appearance determine the physical personality of an individual. It is believed that good physical features attract people. Health and endurance help a leader to work hard which inspires others to work with same tempo.
- **Knowledge:** A good leader should have required knowledge and competence. Only such person can instruct subordinates correctly and influence them.

- **Integrity:** A leader should possess high level of integrity and honesty. He should be a role model to others regarding the ethics and values.
- **Initiative:** A leader should have courage and initiative. He should not wait for opportunities come to his way, rather he should grab the opportunity and use it to the advantage of organization.
- **Communication skills:** A leader should be a good communicator. He should have the capacity to clearly explain his ideas and make the people to understand his ideas. He should be not only good speaker but a good listener, teacher, counselor and persuader.
- **Motivation skills:** A leader should be an effective motivator. He should understand the needs of people and motivate them through satisfying their needs.
- **Self Confidence:** A leader should have high level of self confidence. He should not lose his confidence even in most difficult times. In fact, if the leader lacks self-confidence, he cannot provide confidence to his followers.
- **Decisiveness:** Leader should be decisive in managing the work. Once he is convinced about a fact, he should be firm and should not change opinions frequently.
- **Social skills:** A leader should be sociable and friendly with his colleagues and followers. He should understand people and maintain good human relations with them.

However, we should remember that all good leaders may not necessarily possess all the qualities of a good leader. In fact, it is not possible for any individual to have all the qualities. But an understanding about these qualities helps the managers to acquire them through training and conscious efforts.

V. Leadership Vs Management

- Management and leadership are both important to organizations.
- Effective managers have to be leaders, too, because there are distinctive qualities associated with management and leadership that provide different strengths for the organization.
- A primary distinction between management and leadership is that:

- Management promotes stability, order and problem solving within the existing organizational structure and systems.
- Leadership promotes vision, creativity, and change.
- In other words “a manager takes care of where you are; a leader takes you to a new place”.
- Leadership cannot replace management; it should be in addition to management.
- Good management is needed to help the organization meet current commitment, while good leadership is needed to move the organization into the future.

VI. Leadership styles

- Leadership styles are the pattern of behavior which a leader adopts in influencing the behavior of his followers (subordinates) in the organizational context.
- Leadership style is the manner and approach of providing direction, implementing plans, and motivating people.

The three major styles of leadership are:

- Autocratic leadership
- Participative leadership
- Free-rein leadership

Autocratic leadership

- This is also known as authoritarian, directive style. In autocratic leadership style, a manager centralizes decision-making power in him.
- This style is used when leaders tell their employees what they want done and how they want it accomplished, without getting the advice of their followers.
- Some of the appropriate conditions to use it are when you have all the information to solve the problem, you are short on time, and your employees are well motivated.

- Leader structures the complete work situation for his employees and they do what they are told. Here, the leadership may be negative because followers are uninformed, unsecured, and afraid of leader's authority.

Participative leadership

- This style is also called democratic, consultative or ideographic. Participation is defined as mental and emotional involvement of a person in a group situation which encourages him to contribute to group goals and share responsibility in them.
- This style involves the leader including one or more employees in the decision making process (determining what to do and how to do it). However, the leader maintains the final decision making authority. Using this style is not a sign of weakness; rather it is a sign of strength that your employees will respect.
- This is normally used when you have part of the information, and your employees have other parts. Note that a leader is not expected to know everything — this is why you employ *knowledgeable* and *skillful* employees. Using this style is of mutual benefit — it allows them to become part of the team and allows you to make better decisions.

Free-rein leadership

- Free-rein or laissez-faire technique means give complete freedom to subordinates.
- In this style, manager once determines policy, programmes and limitations for action and the entire process is left to subordinates.
- Group members perform everything and the manager usually maintains contacts with outside persons to bring the information and materials which the group needs.
- In this style, the leader allows the employees to make the decisions. However, the leader is still responsible for the decisions that are made. This is used when employees are able to analyze the situation and determine what needs to be done and how to do it.

A good leader uses all three styles, depending on what forces are involved between the followers, the leader, and the situation.

VII. Leadership Skills:

The leader uses three skills- technical, human and conceptual- to lead his followers.

- **Technical skill** refers to a person's knowledge and proficiency in any type of process or technique. For Example: to use excel and know how to implement macros is an advanced technical skills. To drive a 300 ton truck is also an advanced technical skill. Just like these are thousands of examples of technical skills in every organization.
- **Human skill** is the ability to interact effectively with people and to build team-work. These abilities are the ones that we recognize as the ones that helps us to get along with people, to communicate and work with your team, crew or associates. These are the fundamental abilities in every human activity, in order to get the most of the groups you work with.
- **Conceptual skill** is one that enables us to understand and better decide the actions and measures that have to be taken in a particular field of work.

VIII. Leadership theories

- Many of the research studies, particularly by behavioral scientists, have been carried on to find out the answer to the question: what makes a leader effective? In this success due to his personality, or his behavior, or the types of followers he has, or the situation in which he works, or a combination of all these? These researchers, however, could not give a satisfactory answer of the question.
- Instead these researchers have resulted in various theories or approaches on leadership, the prominent among these being trait theory, behavioral theory, and situational theory. Each theory has its own contributions, limitations, assumptions, and framework of analysis. The understanding of the various theories of leadership will provide guidelines to judge as how a leader emerges.

Trait theory:

- Trait is defined as relatively enduring quality of an individual. The trait approach seeks to determine 'what makes a successful leader' from the leader's own personal characteristics.

- From the very beginning, people have emphasized that a particular individual was successful leader because of his certain qualities or characteristics. People who make good leaders have the right (or sufficient) combination of traits.
- Innate qualities are those which are possessed by various individuals since their birth. These qualities are natural and often known as God-gifted. On the basis of such qualities, it is said that “leaders are born and not made.” These qualities cannot be acquired by the individuals.
- The various studies show wide variations in leadership traits. According to *Stogdill*, various trait theories have suggested traits in a successful leader:
 - Physical and constitutional factors (height, weight, physique, energy, health, appearance)
 - Intelligence
 - Self-confidence
 - Sociability
 - Will (initiative, persistence, ambition)
 - Dominance
 - Surgency (talkative, cheerfulness, geniality, enthusiasm, expressiveness, alertness and originality)
- In a later study, *Ghiselli* has found supervisory ability, achievement motivation, self-actualizing, intelligence, self-assurance, and decisiveness as the qualities related with leadership success.
- There have been many different studies of leadership traits and they agree only in the general saintly qualities needed to be a leader.
- This approach, however, gives indication that leader should have certain personal characteristics. This helps management to develop such qualities through training and development programmes.

Behavioral theory:

- Behavioral theories of leadership do not seek inborn traits or capabilities. Rather, they look at what leaders actually *do*.

- If success can be defined in terms of describable actions, then it should be relatively easy for other people to act in the same way. This is easier to teach and learn than to adopt the more 'traits' or 'capabilities'.
- Leadership is shown by a person's acts more than by his traits. Though traits influence acts, these are also affected by followers, goals, and the environment in which these occur. Thus, there are four basic elements- leaders, followers, goals and environment- which affect each other in determining suitable behavior.
- Behavior of a manager in a particular direction will make him good leader while opposite of this would discard him as a leader. Setting goals, motivating employees for achieving goals, raising that level of morale, building team spirit, effective communication, etc., are the functional behavior for a successful leader.
- The basic difference between trait approach and behavioral approach is that former emphasizes some particular trait to the leader while latter emphasizes particular behavior by him. It is true that favorable behavior provides greater satisfaction to that followers and the person can be recognized as a leader.
- However, this approach suffers from one weakness, that is, a particular behavior at a time may be effective, and while at other times may not be effective. This means the time factor becomes a vital element which has not been considered here.

Situational Theory:

- The Prime attention in this approach is given to the situation in which leadership is exercised. Since 1945, much emphasis in leadership research is being given to the situations that surround the exercise of leadership. The contention is that in one situation leadership may be successful while in others it may not.
- Ohio state university research has given four situational variables that affect the performance of leadership. These are:
 1. The cultural environment
 2. Differences between individuals
 3. Difference between jobs
 4. Differences between organizations

1. The cultural environment:

- Culture is a man-made social system of belief, faith and value. Many aspects of life have a significant influence upon behavior and any understanding of employee's behavior requires the understanding of culture in which he lives.
- Culture may interfere with rational production efficiency by requiring actions unnecessary or unrealistic from a national point of view, but necessary from the cultural point of view. Thus, leadership should be directed to influences behavior of followers in the context of the culture.

2. Differences between individuals:

- There are a variety of factors which affect behavior in different ways such as aptitudes, personality, characteristics, physical characteristics, interests and motivation, age, sex, education, experience, etc.
- Within this framework, individuals in the leadership process may be classified as (a) leaders and (b) followers. The individual's characteristics affect the leadership process. Thus, some persons may perceive a particular leadership style suitable while others may have a different perception.

3. Difference between jobs

- People in the organization perform different types of jobs. The importance of placing individuals in jobs which they can perform at a satisfactory level stems from four different considerations- economic, legal, personal and social.
- Different job conditions influence leadership behavior differently. It is because of the fact that demands of job almost inevitably force a leader into certain kinds of activities. Such requirements do much to set the framework within which the leader must operate. It means the number of leadership options available to the individual is thereby reduced.

4. Differences between organizations

- Various organizations differ on the basis of their size, age, ownership pattern, objective, complexity, managerial pattern, cultural environment, etc. in different types of organizations, leadership process tends to differ.
- For example, in military or government administration, leadership behavior will be different as compared to business organizations.

The situational theory of leadership gives the analyses how leadership behavior differs with situational variables. Thus the question, why a manager in a particular situation is successful while in the other situation is unsuccessful, is answered by this theory.

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